Cost of Goods Manufacturing Schedule

	2024	2025	2026
Work in progress, January 1	**$0.00**	**$0.00**	**$0.00**
Direct materials			
Raw materials inventory, January 1	$0.00	$24,460.80	$53,851.20
Raw materials purchased	$171,312.00	$467,044.80	$761,595.20
Total Raw materials available for use	$171,312.00	$491,505.60	$815,446.40
Less: Raw materials inventory, December 31	$24,460.80	$53,851.20	$80,604.80
Direct materials used	**$146,851.20**	**$437,654.40**	**$734,841.60**
Direct Labour	**$550,692.00**	**$1,549,476.00**	**$2,533,660.00**
Manufacturing Overhead			
Variable cost	$183,415.68	$619,790.40	$1,021,464.00
Fixed Cost	$33,333.67	$101,800.00	$102,600.00
Total Manufacturing Overhead	**$216,749.35**	**$721,590.40**	**$1,124,064.00**
Total Manufacturing Cost	**$914,292.55**	**$2,708,720.80**	**$4,392,565.60**
Total cost of work in progress	$914,292.55	$2,708,720.80	$4,392,565.60
Less: Work in Progress, December 31	$0.00	$0.00	$0.00
Cost of Goods Manufactured	**$914,292.55**	**$2,708,720.80**	**$4,392,565.60**

	2024	2025	2026
Cost of goods Manufactured	$914,292.55	$2,708,720.80	$4,392,565.60
Required Production units	$10,198.00	$28,694.00	$47,290.00
Manufacturing price per unit	**$89.65**	**$94.40**	**$92.89**

2024

Production Budget

Required Production Unit - 2024

	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year
Expected Units Sales			1,800	7,598	
Add: Desired ending Finished goods			760	800	
Total required units			2,560	8,398	
Less: Beginning finished goods units				760	
Required Production Unit			2,560	7,638	**10,198**

Direct Material Budget

Direct Materials Budget For the year ending December 31,2024

	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year
Units to be produced			2560	7638	
Direct materials per unit			0.2	0.2	
Total material needed for production			512	1527.6	
Add: desired ending direct materials			152.76	153	
Total materials required			664.76	1680.6	
Less: beginning direct materials			51.2	152.76	
Direct materials purchased			613.56	1527.84	
Cost per unit			$80	$80	
Total cost of direct materials purchsed			$49,085	$122,227	**$171,312**

Direct Labour Budget

Direct Labour Budget For the year ending December 31,2024

	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year
Unit to be produced			2560	7638	
Direct labour time (hours) per unit			3	3	
Total required direct labour hours			7680	22914	
Direct labour cost per hour			$18.00	$18.00	
Total direct labour cost			$138,240.00	$412,452.00	**$550,692.00**

Manufacturing Overhead Budget

Manufacturing Overhead Budget For the year ending December 31,2024

	Quarter 1	Quarter 2	Quarter 3 (Sept only)	Quarter 4	Year
Variable cost					
Indirect Material			$5,631.56	$50,412.12	
Indirect Labour			$4,266.33	$38,191.00	
Utilities			$2,559.80	$22,914.60	
Maintenance			$5,972.87	$53,467.40	
Total Variable Cost			$18,430.56	$164,985.12	$183,415.68
Fixed Cost					
Plant Manager			$6,667.00	$20,000.00	
Depreciation			$166.67	$1,500.00	
Insurance			$1,250.00	$3,750.00	
Total Fixed Cost			$8,083.67	$25,250.00	$33,333.67
Total Manufacturing Overhead			$26,514.23	$190,235.12	**$216,749.35**

2025

Production Budget

Required Production Unit - 2025

	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year
Expected Units Sales	8,000	4,500	5,500	10,194	
Add: Desired ending Finished goods	450	550	1019.4	1300	
Total required units	8,450	5,050	6,519	11,494	
Less: Beginning finished goods units	800	450	550	1019.4	
Required Production Unit	7,650	4,600	5,969	10,475	**28,694**

Direct Material Budget

Direct Materials Budget For the year ending December 31,2025

	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year
Units to be produced	7650	4600	5969	10475	
Direct materials per unit	0.2	0.2	0.2	0.2	
Total material needed for production	1530	920	1193.8	2095	
Add: desired ending direct materials	92	119.38	209.5	252.26	
Total materials required	1622	1039.38	1403.3	2347.26	
Less: beginning direct materials	153	92	119.38	209.5	
Direct materials purchased	1469	947.38	1283.92	2137.76	
Cost per unit	$80	$80	$80	$80	
Total cost of direct materials purchsed	$117,520	$75,790	$102,714	$171,021	**$467,045**

Direct Labour Budget

Direct Labour Budget For the year ending December 31,2025

	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year
Unit to be produced	7,650	4,600	5,969	10,475	
Direct labour time (hours) per unit	3	3	3	3	
Total required direct labour hours	22950	13800	17908.2	31423.8	
Direct labour cost per hour	$18	$18	$18	$18	
Total direct labour cost	$413,100	$248,400	$322,348	$565,628	**$1,549,476**

Manufacturing Overhead Budget

Manufacturing Overhead Budget For the year ending December 31,2025

	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year
Variable cost					
Indirect Material	$50,490.00	$30,360.00	$39,398.04	$69,132.36	
Indirect Labour	$38,250.00	$23,000.00	$29,847.00	$52,373.00	
Utilities	$22,950.00	$13,800.00	$17,908.20	$31,423.80	
Maintenance	$53,550.00	$32,200.00	$41,785.80	$73,322.20	
Total Variable Cost	$165,240.00	$99,360.00	$128,939.04	$226,251.36	$619,790.40
Fixed Cost					
Plant Manager	$20,400.00	$20,400.00	$20,400.00	$20,400.00	
Depreciation	$1,500.00	$1,500.00	$1,500.00	$1,500.00	
Insurance	$3,550.00	$3,550.00	$3,550.00	$3,550.00	
Total Fixed Cost	$25,450.00	$25,450.00	$25,450.00	$25,450.00	$101,800.00
Total Manufacturing Overhead	$190,690.00	$124,810.00	$154,389.04	$251,701.36	**$721,590.40**

2026

Production Budget

Required Production Unit - 2026

	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year
Expected Units Sales	13000	9125	9695	15170	
Add: Desired ending Finished goods	913	970	1517	1600	
Total required units	13913	10095	11212	16770	
Less: Beginning finished goods units	1300	913	970	1517	
Required Production Unit	12613	9182	10243	15253	**47290**

Direct Material Budget

Direct Materials Budget For the year ending December 31,2026

	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year
Units to be produced	12613	9182	10243	15253	
Direct materials per unit	0.2	0.2	0.2	0.2	
Total material needed for production	2522.6	1836.4	2048.6	3050.6	
Add: desired ending direct materials	183.64	204.86	305.06	314	
Total materials required	2706.24	2041.26	2353.66	3364.6	
Less: beginning direct materials	252.26	183.64	204.86	305.06	
Direct materials purchased	2453.98	1857.62	2148.8	3059.54	
Cost per unit	$80	$80	$80	$80	
Total cost of direct materials purchsed	$196,318	$148,610	$171,904	$244,763	**$761,595**

Direct Labour Budget

Direct Labour Budget For the year ending December 31,2026

	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year
Unit to be produced	12613	9182	10243	15253	
Direct labour time (hours) per unit	3	3	3	3	
Total required direct labour hours	37837.5	27546	30727.5	45759	
Direct labour cost per hour	$18	$18	$18	$18	
Total direct labour cost	$681,075	$495,828	$553,095	$823,662	**$2,553,660**

Manufacturing Overhead Budget

Manufacturing Overhead Budget For the year ending December 31,2026

	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year
Variable cost					
Indirect Material	$83,242.50	$60,601.20	$67,600.50	$100,669.80	
Indirect Labour	$63,062.50	$45,910.00	$51,212.50	$76,265.00	
Utilities	$37,837.50	$27,546.00	$30,727.50	$45,759.00	
Maintenance	$88,287.50	$64,274.00	$71,697.50	$106,771.00	
Total Variable Cost	$272,430.00	$198,331.20	$221,238.00	$329,464.80	$1,021,464.00
Fixed Cost					
Plant Manager	$20,800.00	$20,800.00	$20,800.00	$20,800.00	
Depreciation	$1,500.00	$1,500.00	$1,500.00	$1,500.00	
Insurance	$3,350.00	$3,350.00	$3,350.00	$3,350.00	
Total Fixed Cost	$25,650.00	$25,650.00	$25,650.00	$25,650.00	$102,600.00
Total Manufacturing Overhead	$298,080.00	$223,981.20	$246,888.00	$355,114.80	**$1,124,064.00**

Assumptions

Production Budget:

1. Desired and ending finished goods inventory was assumed at the rate of 10% to ensure that Wuxly has enough finished products on hand to meet customer demand while balancing inventory holding costs.
2. The expected units sale for the 1st quarter of 2027 is being assumed to be $16,000. Hence, the desired ending finished goods for 2026 quarter 4 is 1600, i.e. 10% of 16000.
3. The expected unit sales for the 2nd quarter of 2027 are assumed to be $13,000 to find the required units to be produced for quarter 1 of 2027 to be $15,700. Thus, the total materials required for production is 3140, i.e. 15700 x 0.2.

	Direct Material Budget:
1	Some of the materials that are used in the manufacturing of the Parkas include fabric, zippers, buttons, and insulation material.
2	It is being assumed that from one batch of direct materials 5 units can be produced. Hence, for 1 unit it would require 0.2 of direct materials.
	Direct Labour Budget:
1	It is assumed that the direct labor hours needed to make one parka is 3 hours.
2	The hourly wages are assumed to be $18 an hour.
	MOH Budget:
1	Indirect Material is $6.60 per unit. It includes Thread and Sewing Supplies, Adhesives and Sealants, Cleaning and Maintenance Supplies.
2	Indirect Labour cost is assumed to be $5.00 per unit. It includes 2 Security guards who work for 8 hours a day (one works a night shift, and the other works during the day) and a supervisor who works 8 hours a day.
3	Utilities is $3.00 per unit. It includes Electricity to power machinery, lighting, and heating systems, Water that is used in various stages of production, especially in dyeing or washing processes and Heating and Cooling the facility.
4	Maintenance costs is assumed to be $7.00 per unit. It inludes Machine Repairs and Facility Upkeep.
5	Plant Manager is assumed to be $80,000 ($20,000 per quarter, $6,667 per month) based on the average Plant Manager salary in Toronto which is $182,987 per year. (Salary.com). Plant Manager salary increases to $20,400 in 2025 and $20,800 in 2026 due to salary increments. (2% per year) Supervisor salaries are increasing based on the estimated salary potential for Supervisors is expected to increase by 10 % over the next 5 years in Ontario (SalaryExpert).
6	Depreciation is assumed to be $1,500 per quarter and $500 per month to account for the wear and tear of Wuxly's equipment and machinery used in production. Depreciation covers machinery equipment and the total value is $20,000. In Ontario, the depreciation rate for machinery equipment is 30%. The machinery equipment is being used for 8 hours daily. (“Calculate Capital Cost Allowance in Canada | WOWA.ca”)
7	Insurance is assumed to be $3,750 per quarter (1,250 per month) in the first year based on the average Factory Property insurance paid by businesses in Ontario which is $ 15,000 per year. (Killen) The insurance covers the factory building, equipment, and inventory against damage or loss from events like fire, theft, or natural disasters. The insurance is fixed for the first year and the policy is renewed annually. Since no claim has been made the insurance for the next two years will slightly decrease every year.